

China inverter and robotics

EQUITY: TECHNOLOGY

FCC: forward-looking; structurally binding

Inverters and robots are listed; likely structural risk for firms on compliance, BOM disclosure, client risk

Eight years, seven cases: direction is durable, instrument is prospective

Seven US market-access actions over eight years support one conclusion: the direction is bipartisan and durable. Enforcement speed tracks replacement cost and supply tightness, not policy signaling. In details: 1) Kaspersky (unlisted) software and the Section 214 authorizations held by the Chinese carriers were withdrawn within months, since substitutes existed and no physical asset had to be replaced; 2) equipment from Huawei (unlisted) and ZTE (763 HK, Neutral) embedded in rural networks was not: the FCC approved USD4.98bn of reimbursement cost, initial funding covered 39.5%, the US Congress added about USD3.08bn, and the FCC's eighth report to the Congress in June 2026 put completion at roughly 42%. **The US rules rarely reach backwards. The sequence is to freeze new models first, restrict continued import and sale of previously authorized models second, and address deployed equipment last.** The 28 July action is written likely following the pattern: DA 26-786 reaches new device models only, leaving previously authorized models importable. **What adjusts later is scope, not direction:** 1) the D.C. Circuit vacated the FCC's "critical infrastructure" reading in Hikvision (002415 CH, Not rated) v. FCC in April 2024 but left the Covered List intact; 2) a category exemption followed the UAS (uncrewed aircraft systems) rule within 16 days, easing supply rather than the regime.

Two determinations listed inverters and robots; some may remain unaddressed

The July action was administrative, not legislative. A White House-convened Executive Branch interagency body, including national security agencies, issued two NSDs (National Security Determinations) on 27 July 2026 under 47 U.S.C. Section 1601(c)(1) and (c)(4), both cited in DA 26-786; the FCC states it "is required to" list, so discretion sits with the White House, DoW (Department of War) and DHS (Department of Homeland Security). The Third FNPRM (Further Notice of Proposed Rulemaking, FCC 26-50) followed on 7 August, opening 30-day comment and 45-day reply windows. Inverters and robots are already listed; no determination exists for other fields. **For the listed categories, several lines are open. One contests the source:** whether an inverter or a warehouse robot is "communications equipment" at all turns on Appendix A's capability limiter (our industry survey expects the inverter listing to hold). **Others narrow scope** without contesting it, through Conditional Approvals, definitional carve-outs and the FNPRM record. **For unaddressed fields, the contest is likely over scope,** and scope may be set less by statute than by bargaining power: the US installed base, the cost US customers must bear, and the lobby behind each category.

Our read: Cost for inverters, capability gap for advanced products

In general, we are more negative on the long-run structural trend. **Two US policy directions have been consistent:** 1) **at the low end, continue buying cheap imports but raise their cost and remove supply-chain dependence;** 2) **at the advanceend, deny China a fast catch-up and preserve a generation gap.** Inverters sit mainly in the first frame. As we argued on 29 July and 7 August (*FCC covered list likely caps US growth; August FNPRM closes the gaps July Covered List left open*), the binding constraints for Sungrow (300274 CH, Neutral) are a frozen new-model pipeline and rising compliance cost — component re-sourcing, software and data localization, HBOM/SBOM (hardware/software bill of materials) disclosure and Conditional Approval dossiers — rather than an outright exit from the US market. Other segments may fit both frames, which is why we remain cautious on two grounds: 1) "technology" is what the high-end frame targets; and for the low-end: US may aim to 2) raise the compliance cost (some Chinese firms already build capacities in non-US regions, which a "Buy American" test

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would not credit); 3) while the same HBOM/SBOM disclosure regime would map their supply chains for later targeting; 4) the bigger risk is customer-led: compliance uncertainty may push the US buyers to qualify second sources, eroding long-term share whether or not a rule lands.

Fig. 1: US market-access cases

Case	Product	Agency / restriction	Details	Timing and progress
Kaspersky	Software	BIS — Sale and updates in the US barred	Directly replaceable; no infrastructure rebuild	30 days to halt new contracts; 101 days to halt major updates
China Telecom	Carrier licence	FCC — Section 214 authorisation revoked	The licence is directly administered by the FCC and can simply be revoked	60-day service cut-off period
Huawei / ZTE	Telecom network equipment	FCC — New equipment authorisations halted; installed base ripped and replaced	Embedded in US rural networks; must be removed site by site	Years in, still incomplete — see key data below
Hikvision / Dahua	Video surveillance	FCC / Court of Appeals — New equipment authorisations halted; scope later narrowed by litigation	Previously authorised equipment is unaffected — may still be sold, imported and used. No mandated removal.	Apr 2, 2024 court remand → Dec 4, 2025 FCC proposal → rewrite only completed Jul 22, 2026, covering the new definition, component parts and rebranding
Drones	Product category	FCC — Restricts an entire foreign-produced product category	Burden of proof shifts to the manufacturer	Category exemption at 16 days; first product approvals at 86 days
Consumer-grade routers	Product category	FCC — Restricts the foreign-produced category, with a conditional-approval path	Requires disclosure of beneficial owners, parent/subsidiary ties, design and firmware origin, all components, manufacturing and test sites, and a US capability plan	First conditional approvals at 22 days
Vehicles	Vehicles, software and hardware	ICTS — Sales restricted on the basis of corporate control	Manufacturers owned by, controlled by or subject to the jurisdiction of China or Russia may be caught even if they build in the US	Software from model-year 2027; hardware from model-year 2030

Source: BIS, FCC, ICTS, Nomura research

Fig. 2: Dates to watch

Date	Item	Authority	Why it matters
8-Sep-26	Third FNPRM comments due	FR Doc 2026-16197 (published 2026-08-07); 30 days	Industry filings will materially shape the final form of HBOM/SBOM, the 40-unit import cap and authorization term limits.
21-Sep-26	Third FNPRM reply comments due	Same; 45 days	Where the opposing case concentrates
TBD	Third Report and Order (final rules) published in the Federal Register	FCC 26-50 para. 245	Starts every clock below. Not confirmed as published as of 2026-08-14
Publication + 30 days	Logic-bearing component prohibition, marketing extension to online marketplaces, and the new 'critical infrastructure' definition take effect	FCC 26-50 para. 38, 245	New applications immediately constrained; existing authorizations remain valid
Publication + 180 days	Section 2.803(c)(1) FCC ID display at online point of sale	FCC 26-50 para. 76	Platforms selling directly or holding the goods. Must display a valid and accurate FCC ID — the platform itself is liable
Publication + 270 days	Section 2.803(c)(2) FCC ID display for high-volume third-party sellers	FCC 26-50 para. 76	Third-party marketplace platforms that never touch or take title
Rolling (no fixed deadline)	DoW / DHS Conditional Approval decisions	DA 26-786	Inverters: DoW or DHS. Robots: DoW only. Applications must include corporate ownership structure and beneficial owners at ≥5%, a full bill of materials with component origins, a time-bound plan to establish or expand U.S. manufacturing, and a commitment to quarterly reporting.
Rolling	Further PSHSB Covered List updates	DA 26-786	Every addition or approval issues as a Public Notice. Run rate: four production-location-based categories added in the c.seven months from 2025-12 to 2026-07

Source: FCC, Nomura research

Appendix A-1

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